CATEGORY REVIEW

Chips

Retail Strategy & Analytics — Insights & Recommendations

Prepared by Fariba Kazi

For Julia, Category Manager · June 2026

Agenda

Executive summary

Recommendation: Grow the chip category by protecting high-volume family shoppers on price and pack availability, while targeting premium-willing Mainstream singles & couples with higher-margin ranges — and roll out the new store layout, which significantly lifted sales.

Volume base

Budget Older & Young Families drive the most sales through high units per customer.

Premium impulse

Mainstream young/midage singles & couples pay the highest price per pack ($p<0.001$).

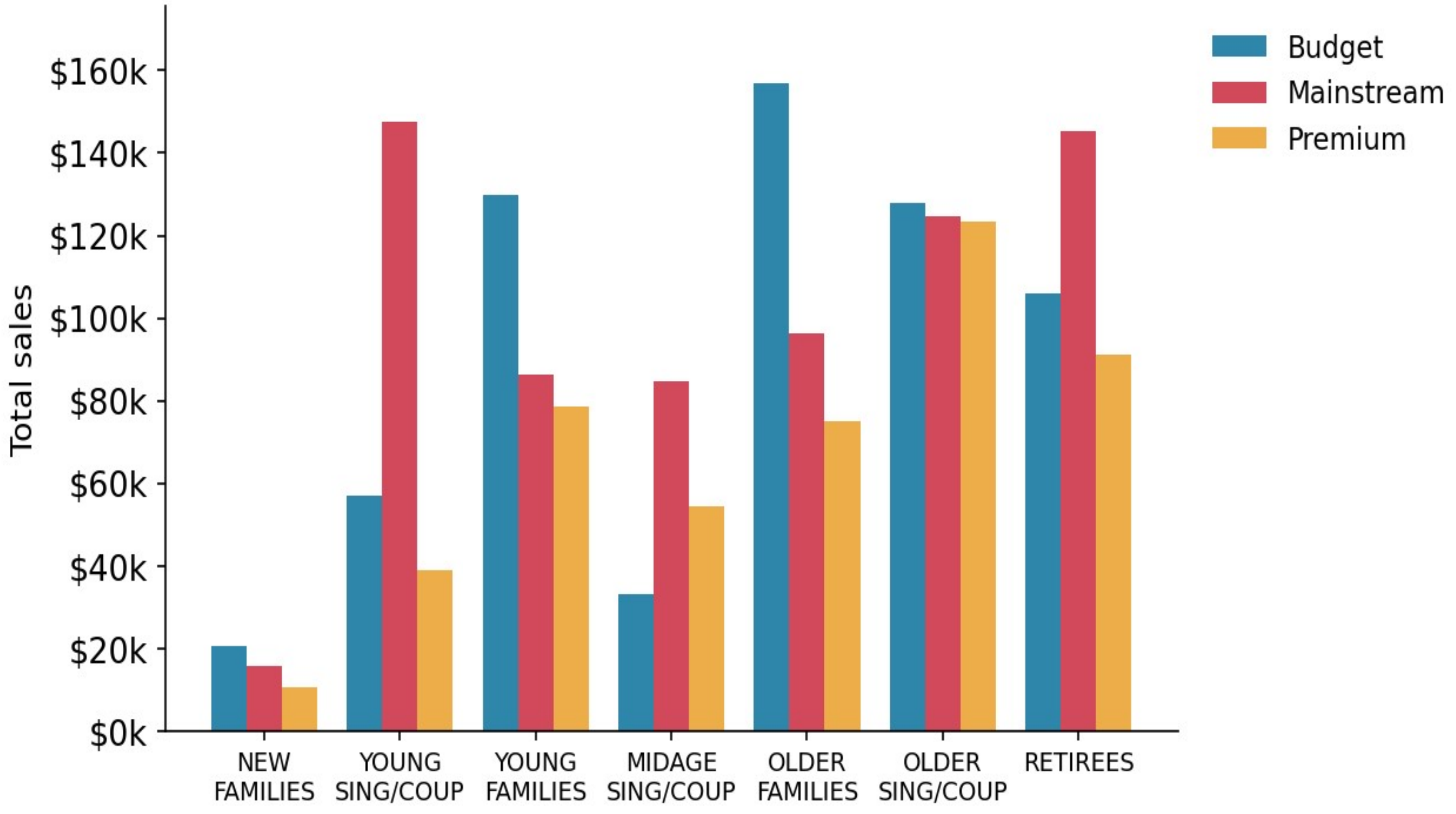
Trial works

Stores 77 & 88 saw a significant sales uplift; store 86 lifted customers strongly.

01

The category: who spends on chips

Three segments drive most chip sales



Top sales segments

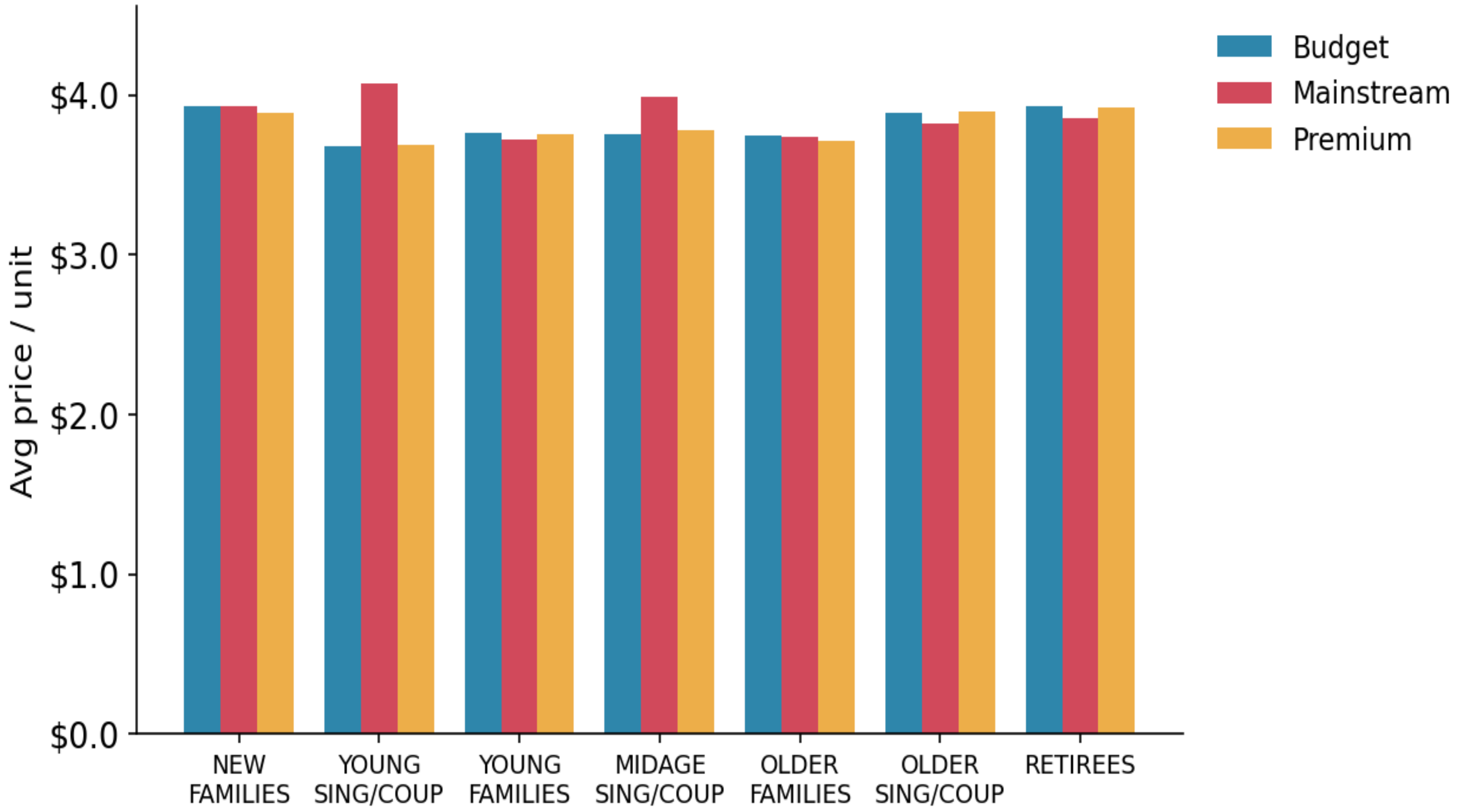
$157k Budget – Older Families

$148k Mainstream – Young Sing/Coup

$145k Mainstream – Retirees

These three groups are the engine of the category and should anchor range and space decisions.

Mainstream singles & couples pay a price premium



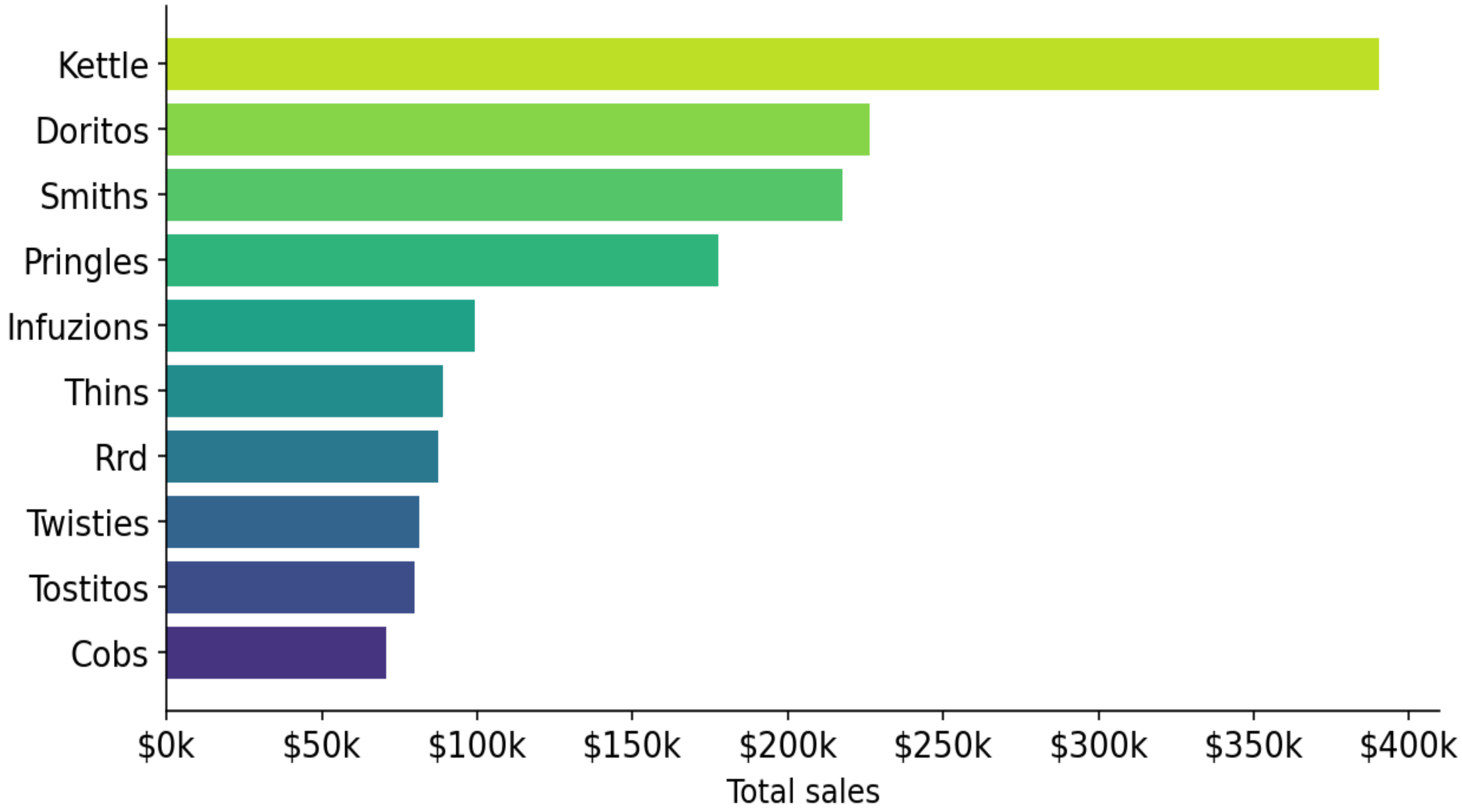
$4.07

avg price/unit — Mainstream Young Singles/Couples

vs **$3.69** for Budget / Premium in the same lifestage.

Statistically significant ($t = 37.6$, $p < 0.001$). These shoppers buy chips as a treat, not a bargain.

Kettle leads; large sharing packs dominate



Kettle

#1 chip brand by total sales

175g

most popular pack size by units

Anchor promotions and feature space around the winning brand and the sharing-pack format.

02

Trial store performance

How we measured the trial

The challenge: a layout trial ran in stores 77, 86 and 88 (Feb–Apr 2019). To know whether sales rose because of the trial — and not seasonality — each trial store is compared against a matched **control store.**

1 Match

Find an established store whose pre-trial sales and customer counts track the trial store closely (correlation + magnitude scoring).

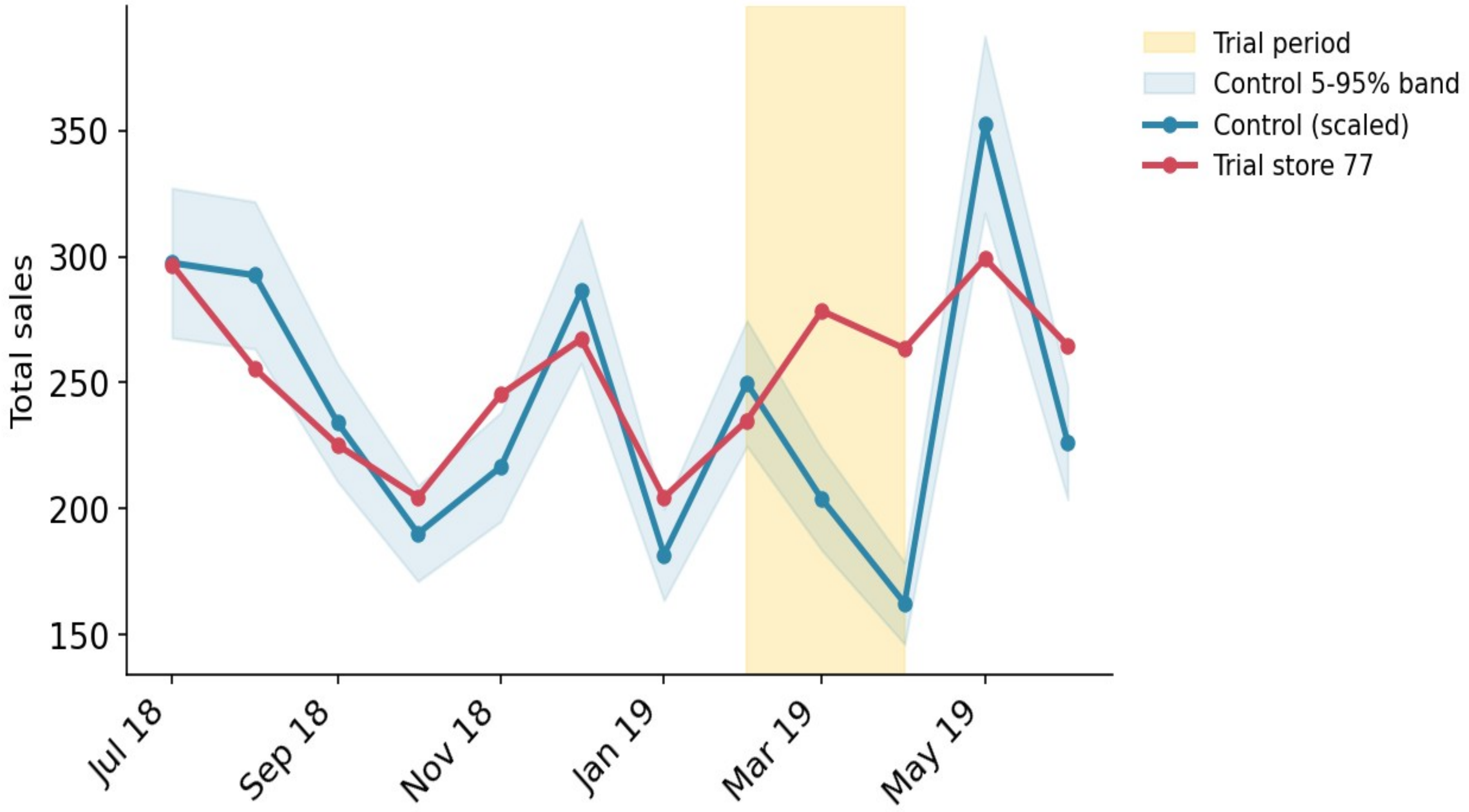
2 Scale

Adjust the control store to the trial store's level so the two are directly comparable.

3 Test

Check each trial month against the control's 5–95% confidence band — outside the band = a significant effect.

The trial significantly lifted sales



Store 77

Sales significantly above control in Mar & Apr.

Store 88

Significant uplift in two of three months.

Store 86

Customers rose strongly, but sales were inconclusive — check for local pricing/promo differences.

Red line breaks above the shaded control band during the trial window.

Recommendations for the strategic plan

1. **Protect the volume base**
   Keep competitive pricing and reliable stock of popular sharing packs for Budget Older & Young Families — the category's biggest sales source.

2. **Win the premium impulse shopper**
   Target Mainstream young & midage singles/couples with higher-margin and on-trend ranges, plus impulse placement and feature space.

3. **Lead with the winning brand & pack**
   Anchor range, promotions and space around Kettle and the 175g sharing format, which capture the bulk of demand.

4. **Roll out the new layout**
   Sales rose significantly in trial stores 77 & 88. Confirm why store 86 differed, then extend the layout more broadly.